MEETING OR CONTACT REPORT

	Date of Report: December 2, 1958
Organization & Location: Product Planning, Poughkeepsie	Date: December 1, 1958 Reported By: H. G. Kolsky
Project: (12) 7000X Committee - Investigation of attitudes and Plans of typical GUIDE members for expansion beyond 705.	Department: 749 Follow-up Date:

PERSONNEL PARTICIPATING:
(Place asterisk next to those on distribution list. Other distribution show at end of report)

E. G. Law*
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I. Subject:

Mr. E. G. Law discussed some of the attitudes and plans of typical 705 installations for expansion beyond the 705. Mr. Law was, until recently, at North American Aviation Corporation. He was very active in the GUIDE organization, being one of its founders.

II. General Remarks Concerning 705 Users:

1. There are many GUIDE members who feel that the 705 comes close to satisfying their ultimate requirements. In contrast only a few SHARE members feel this way about the 704.

2. Commercial customers have always tended to under estimate the needs of a new application. This is probably because they have been doing the job with simpler methods.

3. Usually commercial customers are unsympathetic to considering new approaches to old problems unless there is an economic gain.

4. The attitude, usually called "hard-headedness", is quite common which considers any costs that do not contribute directly to production as highly suspect. Unfortunately this usually includes the data processing activities.

5. The Military has encouraged much of the machine data processing which presently exists. The military requirements for reports and compatible records will generate much more 705 work in the missile industry.

6. Programming costs are usually amortized over an unrealistically long period, such as 5 years. Reprogramming costs vary greatly from installation to installation because of the different ways in which they are amortized.

7. There is considerable inertia against reprogramming, but it can be over-come by lower machine cost.

8. Commercial installations have not had the advantage of the "open shop", which has generated so many new applications and methods for scientific computers.

III. Concerning Future Plans of GUIDE Members:

1. The topics at GUIDE meetings generally fall in 3 catagories:
   a. New techniques for doing some jobs.
   b. Operating practices and equipment.
   c. Administration of over-all effort.

   The GUIDE meetings usually contain more supervisors and fewer "doers" than SHARE meetings.

2. A typical GUIDE member's preparations for the future are in the following order of importance:
   a. Extending present methods into new areas of application.
   b. Redefining present codes.
   c. Studies of "long range" nature.

   The latter include integrating several present applications into a single code and some "in line" processing.

3. "IDP" as we use the term implying both integrated procedures and in-line processing is not being considered actively by most GUIDE members.

4. Most groups have one or more processing jobs which could be done in-line at present. Since these are not the most important jobs, there is no great pressure to do them. If the 705 had interrupt facilities, more such things would have been tried by now.

5. A transistorized 705 would be easier for GUIDE members to accept than a new machine. A 705 program simulation might bridge the gap, but it would be hard to sell as being equivalent.

6. Even if a non-compatible machine were the 705 successor, IBM would still have a considerable advantage with GUIDE members over any competitors who might try to come in.

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